

FEDERAL MARITIME COMMISSION

Docket No. 17-09

**FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY
S.P.A.**

v.

**WALLENUS WILHELMSSEN LOGISTICS AS, WALLENUS
WILHELMSSEN LOGISTICS AMERICAS LLC, EUKOR CAR
CARRIERS INC., NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE
(NORTH AMERICA) INC., MITSUI O.S.K. LINES, LTD., MOL
(AMERICA) INC.,
KAWASAKI KISEN KAISHA, LTD., "K" LINE AMERICA, INC.,
COMPANIA SUD AMERICANA DEVAPORES S.A., AND HOEGH AUTOLINERS
AS**

**ANSWER AND AFFIRMATIVE DEFENSES
OF NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC.**

Respondents Nippon Yusen Kabushiki Kaisha and NYK Line (North America) Inc.
(collectively "NYK"), by and through their undersigned counsel, respectfully submit this
Answer to the Complaint of complainants Fiat Chrysler Automobiles NV, FCA US LLC,
and FCA Italy S.p.A. (collectively "Complainants") as follows:

PRELIMINARY STATEMENT AND GENERAL DENIAL

In this Answer, NYK is responding to the allegations in the Complaint that are directed
toward NYK. Except as otherwise stated below, NYK lacks sufficient knowledge or information
to form a belief concerning the truth of the allegations in the Complaint that are directed toward

other entities. To the extent not specifically admitted herein, NYK denies all of the allegations in the Complaint. In addition, to the extent Complainants purport to quote from documents in the Complaint, NYK refers to the documents themselves for their actual and complete contents. NYK has not attempted to verify the accuracy of Complainants' quotations or even that the documents exist. To the extent the quotations are incomplete, inaccurate, or misleading, or the underlying documents do not exist, NYK denies the allegations. NYK will insist on strict proof of all allegations, assuming such allegations are deemed admissible, as to which NYK reserves its rights. NYK's use of the Complaint's defined terms is intended solely for the Presiding Officer's convenience; NYK denies that Complainants have defined these terms appropriately.

On May 7, 2018, the Presiding Officer issued an Initial Decision granting in part and denying in part the supplemental consolidated motion to dismiss the Complaint. *See* Initial Decision at 40-50. Under the Initial Decision, all of Complainants' claims for reparations are dismissed except for those based on alleged "continuing violations." Because the Complaint "specifically alleges continuing violations," *id.* at 49, the Initial Decision holds that "Fiat may be entitled to reparations if it can establish a violation that accrued within three years of filing their complaint." *Id.* at 50. The Complaint was filed on October 6, 2017. As a result, Complainants might possibly be allowed to obtain a cease and desist order or reparations only for claims based on violations, if any, occurring after October 6, 2014. Therefore, NYK's Answer, in its entirety, is subject to the unappealed rulings with respect to Complainants' claims in the Initial Decision and, accordingly, is limited solely to the narrow claims remaining in the Complaint after the Initial Decision.

ANSWERS TO ALLEGATIONS

[Introduction]

1. The allegations in Paragraph 1 are characterizations of the action and call for

conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 1 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 1 are deemed to require a further response and are directed to NYK, they are denied.

2. For any allegations in Paragraph 2 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. NYK admits that it was a subject of a United States Department of Justice (“DOJ”) investigation and agreed to a guilty plea in December 2014 that involved a payment in the United States. NYK admits that an ex-employee entered a guilty plea in March 2015. NYK refers to the referenced DOJ guilty pleas for their true and complete contents. Any remaining allegations in Paragraph 2 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 2 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 2 are deemed to require a further response and are directed to NYK, they are denied.

3. The allegations of Paragraph 3 constitute conclusions of law to what no answer is required or given. To the extent Paragraph 3 alleges fact, the same are denied and strict proof thereof is demanded at trial, if relevant.

[The Parties]

4. The allegations of Paragraph 4 constitute conclusions of law to what no answer is required or given. To the extent Paragraph 3 alleges fact, the same are denied and strict proof thereof is demanded at trial, if relevant.

5. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 5. To the extent that any remaining allegations in Paragraph 5 are deemed to require a further response and are directed to NYK, they are denied.

6. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 6. To the extent that any remaining allegations in Paragraph 6 are deemed to require a further response and are directed to NYK, they are denied.

7. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 7. To the extent that any remaining allegations in Paragraph 7 are deemed to require a further response and are directed to NYK, they are denied.

8. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 8. To the extent that any remaining allegations in Paragraph 8 are deemed to require a further response and are directed to NYK, they are denied.

9. NYK admits that Nippon Yusen Kabushiki Kaisha is a Japanese company with business facilities located in Chiyoda-ku, Tokyo, Japan. NYK admits that NYK Line (North America) Inc. is a subsidiary of Nippon Yusen Kabushiki Kaisha, and that NYK Line (North America) Inc. conducts business in offices located at 300 Lighting Way, Secaucus, NJ 07094. Any remaining allegations in Paragraph 9 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 9 are deemed to require a further response, they are denied.

10. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 10. To the extent that any remaining allegations in Paragraph 10 are deemed to require a further response and are directed to NYK, they are denied.

11. NYK lacks knowledge or information sufficient to form a belief as to the truth of

the allegations in Paragraph 11. To the extent that any remaining allegations in Paragraph 11 are deemed to require a further response and are directed to NYK, they are denied.

12. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 12. To the extent that any remaining allegations in Paragraph 12 are deemed to require a further response and are directed to NYK, they are denied.

13. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 13. To the extent that any remaining allegations in Paragraph 13 are deemed to require a further response and are directed to NYK, they are denied.

[Jurisdiction and Venue]

14. For any allegations in Paragraph 14 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. The remaining allegations in Paragraph 14 are conclusions of law, to which no response is required. To the extent that any allegations in Paragraph 14 require a further response and are directed to NYK, they are denied.

15. For any allegations in Paragraph 15 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. The remaining allegations in Paragraph 15 are conclusions of law, to which no response is required. To the extent that any allegations in Paragraph 15 require a further response and are directed to NYK, they are denied.

16. For any allegations in Paragraph 16 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. The remaining allegations in Paragraph 16 are conclusions of law, to which no response is required. To the extent that any allegations in Paragraph 16 require a further response and are directed to NYK, they are denied.

[Background and Allegations of Fact]

Roll On, Roll Off Cargo: Transportation of Wheeled Freight]

17. NYK admits that it has “transport[ed] wheeled freight, also known as ‘roll on, roll off cargo,’ on ocean shipping vessels specifically designed to transport such freight on deep sea routes” and that “[n]ewly assembled cars, trucks, and motor vehicles (‘vehicles’) are transported as roll on, roll off cargo[.]” Any remaining allegations in Paragraph 17 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 17 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 17 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

18. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 18.

[Respondents and their Co-Conspirators’ Illegal, Anti-Competitive Conduct]

19. For any allegations in Paragraph 19 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 19 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 19 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 19 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

20. For any allegations in Paragraph 20 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. NYK admits that it was a subject of a DOJ

investigation and agreed to a guilty plea in December 2014 that involved the payment of \$59.4 million. NYK admits that an ex-employee entered a guilty plea in March 2015. NYK refers to the referenced DOJ guilty pleas for their true and complete contents. To the extent that any remaining allegations in Paragraph 20 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 20 are deemed to require a further response and are directed to NYK, they are denied.

21. For any allegations in Paragraph 21 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. NYK admits that Nippon Yusen Kabushiki Kaisha and/or certain entities affiliated with Nippon Yusen Kabushiki Kaisha have been fined by foreign competition authorities. To the extent that any remaining allegations in Paragraph 21 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 21 are deemed to require a further response and are directed to NYK, they are denied.

22. The allegations in Paragraph 22 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 22 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 22 are deemed to require a further response and are directed to NYK, they are denied.

23. For any allegations in Paragraph 23 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 23 are

conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 23 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 23 are deemed to require a further response and are directed to NYK, NYK denies that it has sold to Complainants roll on, roll off cargo services for shipments to or from the United States since October 2014 and/or pursuant to contracts with Complainants entered prior to September 2012. All remaining allegations are denied and strict proof thereof is demanded at trial, if relevant.

24. For any allegations in Paragraph 24 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 24 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 24 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 24 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

25. For any allegations in Paragraph 25 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 25 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 25 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 25 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at

trial, if relevant.

26. For any allegations in Paragraph 26 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 26 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 26 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 26 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

27. For any allegations in Paragraph 27 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 27 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 27 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 27 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

28. For any allegations in Paragraph 28 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 28 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 28 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 28 are deemed to require a

further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

29. For any allegations in Paragraph 29 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 29 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 29 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 29 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

30. For any allegations in Paragraph 30 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 30 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 30 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 30 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

31. For any allegations in Paragraph 31 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations in Paragraph 31 are conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 31 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those

allegations. To the extent that any remaining allegations in Paragraph 31 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

[Respondents have admitted to entering into secret, unfiled agreements]

32. For any allegations in Paragraph 32 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. NYK admits that it was a subject of a United States Department of Justice (“DOJ”) investigation and agreed to a guilty plea in December 2014. NYK refers to the referenced DOJ guilty plea for its true and complete contents. Any remaining allegations in Paragraph 32 are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 32 are deemed to require a further response and are directed to other entities. NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 32 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

33. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 33. To the extent the allegations in Paragraph 33 refer to document, the writing therein speaks for itself. To the extent that any allegations in Paragraph 33 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

34. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 34. To the extent the allegations in Paragraph 34 refer to document, the writing therein speaks for itself. To the extent that any allegations in Paragraph 34 are deemed to require a further response and are directed to NYK, they are denied and strict proof

thereof is demanded at trial, if relevant.

35. For any allegations in Paragraph 35 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. NYK admits that it was a subject of a DOJ investigation and agreed to a guilty plea in December 2014 that involved the payment of \$59.4 million. NYK refers to the referenced DOJ guilty pleas for their true and complete contents. To the extent that any allegations in Paragraph 35 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

36. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 36. To the extent the allegations in Paragraph 36 refer to document, the writing therein speaks for itself. To the extent that any allegations in Paragraph 36 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

37. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 37. To the extent the allegations in Paragraph 37 refer to document, the writing therein speaks for itself. To the extent that any allegations in Paragraph 37 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

38. NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 38. To the extent that any allegations in Paragraph 38 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

39. For any allegations in Paragraph 39 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations

that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 39 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 39 are deemed to require a further response and are directed to NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

[FCA Purchased Roll On, Roll Off Cargo Transport Service for Prices Made in Accordance with
Unfiled Agreements and Continues to Pay those Prices]

40. For any allegations in Paragraph 40 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any further response is required, NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 40. To the extent that any allegations in Paragraph 40 are deemed to require a further response and are directed to NYK, NYK denies that it has sold to Complainants roll on, roll off cargo services for shipments to or from the United States since October 2014 and/or pursuant to contracts with Complainants entered prior to September 2012. NYK denies all remaining allegations and demands strict proof thereof at trial, if relevant.

41. For any allegations in Paragraph 41 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. To the extent that any further response is required, NYK lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph 41. To the extent that any allegations in Paragraph 41 are deemed to require a further response and are directed to NYK, NYK denies that it has sold to Complainants roll on, roll off cargo services for shipments to or from the United States since October 2014 and/or pursuant to contracts with Complainants entered prior to September 2012. NYK denies all

remaining allegations and demands strict proof thereof at trial, if relevant.

[Respondents Concealed their Secret, Unfiled Agreements and Continue to Violate the
Shipping Act]

42. For any allegations in Paragraph 42 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 42 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 42 are deemed to require a further response and are directed NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

43. For any allegations in Paragraph 43 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 43 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 43 are deemed to require a further response and are directed NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

44. For any allegations in Paragraph 44 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 44 are deemed to require a further response and are directed

to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 44 are deemed to require a further response and are directed NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

45. For any allegations in Paragraph 45 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 45 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 45 are deemed to require a further response and are directed NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

46. For any allegations in Paragraph 46 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any remaining allegations in Paragraph 46 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 46 are deemed to require a further response and are directed NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

47. For any allegations in Paragraph 47 relating to alleged conduct, acts, or effects before October 6, 2014, no response is required. Any remaining allegations are characterizations that call for conclusions of law, to which no response is required. To the extent that any

remaining allegations in Paragraph 47 are deemed to require a further response and are directed to other entities, NYK lacks knowledge or information sufficient to form a belief as to the truth of those allegations. To the extent that any remaining allegations in Paragraph 47 are deemed to require a further response and are directed NYK, they are denied and strict proof thereof is demanded at trial, if relevant.

[Causes of Actions]

Count I: Violations of 46 U.S.C. § 40302(a)]

48. NYK incorporates by reference the Preliminary Statement and General Denial and its responses set forth above to Paragraphs 1-47.

49. The allegations of Paragraph 49 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

50. The allegations of Paragraph 50 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

51. The allegations of Paragraph 50 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

52. The allegations of Paragraph 52 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Count II: Violations of 46 U.S.C. § 41102(b)]

53. NYK incorporates by reference the Preliminary Statement and General Denial

and its responses set forth above to Paragraphs 1-52.

54. The allegations of Paragraph 54 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Count III: Violations of 46 U.S.C. § 41102(c)]

55. NYK incorporates by reference the Preliminary Statement and General Denial and its responses set forth above to Paragraphs 1-54.

56. The allegations of Paragraph 56 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Count IV: Violations of 46 U.S.C. § 41103(a)]

57. NYK incorporates by reference the Preliminary Statement and General Denial and its responses set forth above to Paragraphs 1-56.

58. The allegations of Paragraph 58 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

59. The allegations of Paragraph 59 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Count V: Violations of 46 U.S.C. § 41104(10)]

60. NYK incorporates by reference the Preliminary Statement and General Denial and its responses set forth above to Paragraphs 1-59.

61. The allegations of Paragraph 61 set forth legal conclusions to which no response

is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Count VI: Violations of 46 U.S.C. § 41105]

62. NYK incorporates by reference the Preliminary Statement and General Denial and its responses set forth above to Paragraphs 1-61.

63. The allegations of Paragraph 63 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

64. The allegations of Paragraph 64 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Count VII: Violations of 46 C.F.R. § 535.401]

65. NYK incorporates by reference the Preliminary Statement and General Denial and its responses set forth above to Paragraphs 1-64.

66. The allegations of Paragraph 66 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Injury Suffered by FCA]

67. The allegations of Paragraph 67 set forth legal conclusions to which no response is required, but if a response is required, NYK denies such allegations and demands strict proof thereof at trial, if relevant.

[Prayer for Relief]

NYK denies that Complainants are entitled to any of the prayed for relief for the reasons

stated herein.

AFFIRMATIVE OR ALTERNATIVE DEFENSES

In addition to the reasons stated above, Complainants are not entitled to relief, and NYK is entitled to judgment in its favor and against Complainants on the basis of the following Affirmative or Alternative Defenses, pleaded in the alternative to the extent that they may be found to be inconsistent. In asserting these defenses, NYK does not assume the burden of proof on any issue that would otherwise rest with Complainants.

Affirmative Defense No. 1

The Complaint fails to state any cognizable Shipping Act claims upon which relief can be granted.

Affirmative Defense No. 2

Complainants' claims are barred, in whole or in part, because the Complaint fails to plead conspiracy or fraud with the particularity required under applicable law.

Affirmative Defense No. 3

Complainants' claims are barred, in whole or in part, because Complainants have suffered no antitrust injury.

Affirmative Defense No. 4

Complainants' claims are barred to the extent that they did not purchase roll on, roll off shipping services directly from NYK or other Respondents, because it would be an indirect purchaser and barred from maintaining an action under the Shipping Act for alleged injuries in that capacity.

Affirmative Defense No. 5

Complainants' claims are barred by the Shipping Act's three-year statute of limitations.

Affirmative Defense No. 6

To the extent any of Complainants' claims remain following the May 7, 2018 decision, Complainants have failed to plead facts sufficient to establish a "continuing violation," and thus all of Complainants' claims are time-barred.

Affirmative Defense No. 7

Complainants' claims are barred, in whole or in part, by the doctrines of waiver, estoppel, and/or laches.

Affirmative Defense No. 8

Complainants' claims are barred, in whole or in part, by the doctrine of mootness.

Affirmative Defense No. 9

Complainants' claims are barred, in whole or in part, because Complainants lack standing.

Affirmative Defense No. 10

Complainants are barred, in whole or in part, from recovery of any damages or reparations because of and to the extent of their failure to mitigate damages or reparations.

Affirmative Defense No. 11

Complainants' alleged injury, if any, is in whole or in part the result of their own actions and contributory fault.

Affirmative Defense No. 12

Complainants have failed to allege fraudulent concealment with particularity.

Affirmative Defense No. 13

Complainants' claims are barred, in whole or in part, because Complainants have suffered no injury, damages, or reparations as a result of the matters alleged in the Complaint.

Affirmative Defense No. 14

Complainants' claims are barred, in whole or in part, because the alleged damages or reparations, if any, are speculative and because of the impossibility of ascertaining and allocating those alleged damages or reparations.

Affirmative Defense No. 15

Any injuries, damages, or reparations Complainants may have suffered were caused solely or proximately by the acts or omissions of others.

Affirmative Defense No. 16

Complainants' claims are barred, in whole or in part, because any price change was absorbed in whole or in part by others because Complainants passed on any price change to entities to which they later sold their vehicles.

Affirmative Defense No. 17

Complainants' claims are barred, in whole or in part, by Complainants' failure to exercise due diligence to uncover any allegedly unlawful conduct.

Affirmative Defense No. 18

Complainants' claims are barred, in whole or in part, to the extent they would result in NYK paying damages or reparations to more than one claimant for the same alleged price changes.

Affirmative Defense No. 19

Complainants' claims are barred, in whole or in part, to the extent they are based on alleged acts, conduct, or statements that are specifically permitted by law.

Affirmative Defense No. 20

Complainants' claims are barred, in whole or in part, by reason of Complainants' ratification, acquiescence, agreement, or consent to NYK's conduct.

Affirmative Defense No. 21

Complainants' claims are barred, in whole or in part, because any alleged injury, damage, or reparations has been offset by benefits Complainants received with respect to the conduct they challenge.

Affirmative Defense No. 22

Complainants' claims are barred, in whole or in part, because an award of double damages or reparations against NYK based on the alleged conduct would constitute excessive damages or reparations.

Affirmative Defense No. 23

Complainants' claims are barred, in whole or in part, because to the extent any challenged conduct occurred, NYK had legitimate business and economic justifications for the conduct, its conduct was pro-competitive, its practices were and are reasonably justified, and/or its conduct was permitted by the Shipping Act of 1984, as amended.

Affirmative Defense No. 24

Complainants' claims are barred to the extent any recovery by any Complainant would be duplicative of recovery by other plaintiffs and other lawsuits, subjecting NYK to the possibility of multiple recovery; such recovery is barred by the Fifth and Eighth Amendments to the United States Constitution.

Affirmative Defense No. 25

Any affirmative defenses pleaded by the other Respondents and not pleaded by NYK are incorporated herein to the extent they do not conflict with NYK's affirmative defenses.

Affirmative Defense No. 26

The FMC lacks personal jurisdiction over NYK.

Affirmative Defense No. 27

The FMC lacks subject jurisdiction over the claims asserted by Complainants against NYK.

Affirmative Defense No. 28

Complainants are unable to assert or prove any facts on which to assert either (a) a claim for reparations arising after October 6, 2014, or (b) a continuing basis for a cease-and-desist order. As a result, this action was brought (1) for an improper purpose, such as to harass, cause unnecessary delay, or needlessly increase the cost of litigation, (2) Complainants' claims and other legal contentions are not warranted by existing law or by a nonfrivolous argument for extending, modifying, or reversing existing law or for establishing new law, and (3) Complainants' factual contentions lack evidentiary support or, if pled on information and belief, will lack evidentiary support after a reasonable opportunity for further investigation or discovery. The filing and prosecution of the Complaint warrants the imposition of sanctions.

RESERVATION OF CLAIMS, DEFENSES, AND RIGHTS

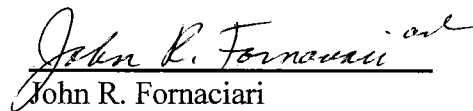
NYK reserves the right to assert any additional claims and further defenses as may be revealed by discovery or otherwise, up to and including the time of trial. NYK currently has insufficient knowledge or information upon which to form a belief as to any other potential affirmative defenses that may be available to it, and expressly reserves the right to amend or supplement this Answer and these affirmative defenses, as well as to assert any and all additional or alternative defenses under any applicable law or regulations, in the event that discovery indicates that such defenses are available or otherwise. Assertion by NYK of any affirmative

defense(s) or any other defense(s) shall not be deemed a concession that NYK bears the burden of proof with respect to any of them. NYK reserves its right to assert counterclaims as may be appropriate.

WHEREFORE, NYK prays that:

- A. Complainants take nothing by way of their Complaint, and the action be dismissed with prejudice;
- B. Judgment be entered in favor of NYK and against Complainants with respect to all causes of action in the Complaint;
- C. The Presiding Officer award NYK its attorneys' fees and all other costs reasonably incurred in defense of this action; and
- D. The Presiding Officer award NYK such other relief as it may deem just and proper favor and against complainants on all counts of their complaint.

DATED: October 9, 2018


John R. Fornaciari

Danyll W. Foix

BAKER & HOSTETLER LLP

1050 Connecticut Ave., NW – Suite 1100

Washington, D.C. 20036

Telephone: 202-861-1500

jfornaciari@bakerlaw.com

dfoix@bakerlaw.com

*Counsel for Respondents Nippon Yusen
Kabushiki Kaisha and NYK Line North
America Inc.*

VERIFICATION PURSUANT TO 46 C.F.R. § 502.62(b)(2)

I, Tsutomu Tanaka, upon his oath, hereby verifies as follows:

1. I am an attorney and Manager in the Legal and Fair Trade Promotion Group for NYK Group and I am authorized to and do make this verification on its behalf. I also am authorized to and do make this verification on behalf of Nippon Yusen Kabushiki Kaisha and NYK Line (North America) Inc.

2. I hereby verify that the facts, if any, contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information and belief.

I hereby further verify under penalty of perjury that the foregoing is true and correct.

DATED: October 9, 2018



Tsutomu Tanaka

CERTIFICATE OF SERVICE

I hereby certify that, on the below date, a true and correct copy of the foregoing answer and affirmative defenses was filed electronically with the Secretary of the Federal Maritime Commission, and true and correct copies thereof were sent electronically to all counsel for the parties identified in Docket No. 17-09.

DATED: October 9, 2018



John R. Fornaciari

Danyll W. Foix

BAKER & HOSTETLER LLP

1050 Connecticut Ave., NW – Suite 1100

Washington, D.C. 20036

Telephone: 202-861-1500

jfornaciari@bakerlaw.com

dfoix@bakerlaw.com